

Revenue Recapture Plan

Swan Ranch Rail Project

Project Information	
BRC Loan	\$5,000,000
BRC Loan Rate (annual)	1%
BRC Loan Term (Yrs)	10
Annual debt service to WBC Y1-Y3	\$50,000
Annual debt service to WBC Y4-Y10	\$743,141

Year	Annual Lease Payment to City	Recapture Funds Generated for Cheyenne LEADS
1	\$50,000	\$25,000
2	\$50,000	\$25,000
3	\$50,000	\$25,000
4	\$743,141	\$25,000
5	\$743,141	\$21,535
6	\$743,141	\$18,034
7	\$743,141	\$14,499
8	\$743,141	\$10,928
9	\$743,141	\$7,321
10	\$743,141	\$3,679
Total		\$175,994

Cheyenne LEADS will generate \$175,994 over the 10 year life of the BRC loan through the City leasing the rail to Granite Peak Development according to the schedule shown here.

The first three years are critical for the rail to get established, so the lease is interest only during that time and is \$50,000 annually and LEADS will generate \$25,000 annually. Then, from years 4 through 10 the lease payment will increase to \$743,141 and Cheyenne LEADS will generate recapture funds as illustrated in the table (from \$21,535 down to \$3,679). As Granite Peak will be responsible maintenance costs of the rail the City will be able transfer all of those funds to LEADS.

Economic Development Initiatives to be Paid for with the Revenue

Cheyenne LEADS will invest any funds generated through the lease to infrastructure development for economic development. This includes purchasing land or buildings, business park enhancements (landscaping or signage), and paying for infrastructure such as roads, water, sewer, fiber optics, and power.